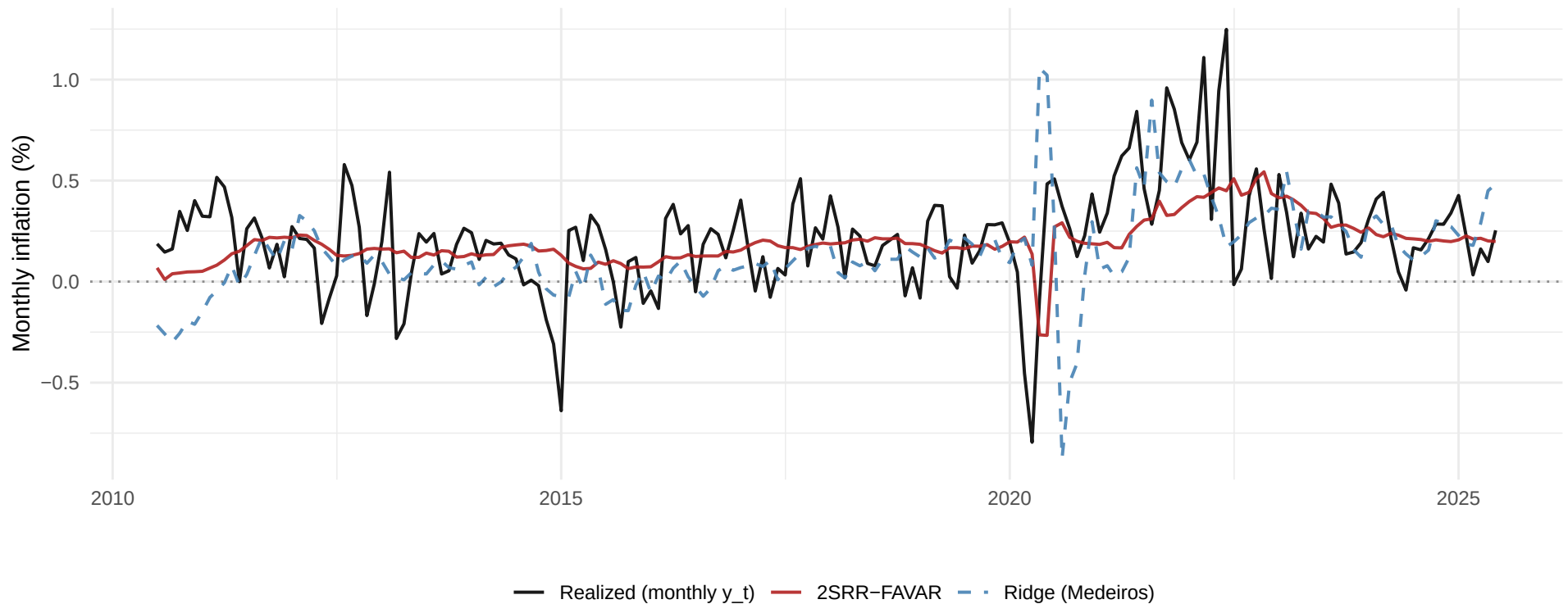


2SRR-FAVAR vs classical Ridge (Medeiros), $h=12$



Realized = y_t (monthly); h -step forecasts / h = mean monthly prediction